



PAPER – 1: ACCOUNTING



QUESTIONS

True and False

1. State with reasons, whether the following statements are true or false:
 - (a) Accrual concept implies accounting on cash basis.
 - (b) The Sales book is kept to record both cash and credit sales.
 - (c) Bank reconciliation statement is prepared to arrive at the bank balance.
 - (d) The provision for bad debts is debited to sundry debtors account.
 - (e) Periodic inventory system is a method of ascertaining inventory by taking an actual physical count.
 - (f) Discount at the time of retirement of a bill is a gain for the drawee.
 - (g) The provision for discount on creditors is often not provided in keeping with the principle of conservatism.
 - (h) Partners can share profits or losses in their capital ratio, when there is no agreement.
 - (i) Both revenue and capital nature transactions are recorded in the Receipts and Payments Account.
 - (j) A fixed charge generally covers all the assets of the company including future one.

Theoretical Framework

2. Explain Cash and Mercantile system of accounting.

Journal Entries

3. (a) You are required to pass necessary journal entries in the books of Kewal:
- (i) Cheque amounting ₹ 9,000 from Hari Krishan in full settlement of his account for ₹ 10,000.
 - (ii) Withdrawn for personal use: Goods (Sales Price ₹ 8,000, Cost ₹ 6,000), cash ₹ 1,000
 - (iii) Goods costing ₹ 3,000 (Sale price ₹4,000) distributed as free samples.
 - (iv) Received commission ₹ 10,000, half of which does not relate of current year and is received in advance.
 - (v) Purchased second hand machinery from Jawahar industries for ₹ 3,00,000 plus CGST and SGST @ 6% each. Paid ₹ 1,00,000 immediately by cheque and balance to be paid after two months.

Capital or Revenue Expenditure

- (b) Classify the following expenditures as capital or revenue expenditure:
- (i) Travelling expenses of the directors for trips abroad for purchase of capital assets.
 - (ii) Amount spent to reduce working expenses.
 - (iii) Amount paid for removal of stock to a new site.
 - (iv) Cost of repairs on second-hand car purchased to bring it into working condition.
 - (v) Amount spent on renewal fee of patent rights.

Cash Book

4. (a) Prepare a Triple Column Cash Book from the following transactions of M/s Ram Agencies and bring down the balance for the start of next month:

2024			₹
March	1	Cash in hand	30,000
	1	Cash at bank	1,20,000
	2	Paid into bank	10,000
	5	Bought furniture and issued cheque	15,000
	8	Purchased goods for cash	5,000
	12	Received cash from Mohan	9,800
		Discount allowed to him	200
	14	Cash sales	50,000
	16	Paid to Lata by cheque	14,500
		Discount received	500
	19	Paid into Bank	5,000
	23	Withdrawn from Bank for Private expenses	6,000
	24	Received cheque from Gupta	14,300
		Allowed him discount	200
	26	Deposited Gupta's cheque into Bank	
	28	Withdrew cash from Bank for Office use	20,000
	30	Paid rent by cheque	8,000

Rectification of Errors

- (b) Pass the Journal entries to rectify the following errors detected during preparation of the Trial Balance:
- Wages paid for construction of office building debited to wages account ₹ 20,000.
 - A credit sale of goods ₹ 1,200 to Ramesh has been wrongly passed through the Purchase Book.
 - An amount of ₹ 2,000 due from Mahesh Chand which had

been written off as a bad debit in the previous year was unexpectedly recovered and has been posted to the personal account of Mahesh Chand.

- (iv) Goods (Cost being ₹ 15,000 and Sales price being ₹ 16,000) distributed as free samples amount prospective customers were not recorded anywhere.
- (v) Goods worth ₹ 1,500 returned by Ritu have not been recorded anywhere.

Bank Reconciliation Statement

5. According to the cash-book of Mihir there was balance of ₹ 4,45,000 in his bank on 30th June, 2024 On investigation you find that :

- (i) Cheques amounting to 60,000 issued to creditors have not been presented for payment till the date
- (ii) Cheques paid into bank amounting to 1,10,500 out of which cheques amounting to ₹ 55,000 only collected by bank up to 30th June 2024
- (iii) A dividend of ₹ 4,000 and rent amounting to 60,000 received by the bank and entered in the pass-book but not recorded in the cash book.
- (iv) Insurance premium (up to 31st December, 2023) paid by the bank ₹ 2,700 not entered in the cash book.
- (v) The payment side of the cash book had been under cast by ₹ 500
- (vi) Bank charges ₹ 150 shown in the pass book had not been entered in the cash book.
- (vii) A bill payable of ₹ 20,000 had been paid by the bank but was not entered in the cash book and bill receivable for ₹ 6,000 had been discounted with the bank at a cost of ₹ 100 which had also not been recorded in cash book.

You are required:

- (1) To make the appropriate adjustments in the cash book, and
- (2) To prepare a statement reconciling it with the bank pass book.

Valuation of Inventories

6. From the following particulars ascertain the value of inventories as on 31st March, 2024 :

Inventory as on 1st April, 2023	₹ 3,50,000
Purchase made during the year	₹ 12,00,000
Sales	₹ 18,50,000
Manufacturing Expenses	₹ 1,00,000
Selling and Distribution Expenses	₹ 50,000
Administration Expenses	₹ 80,000

At the time of valuing inventory as on 31st March, 2023, a sum of ₹ 20,000 was written off on a particular item which was originally purchased for ₹ 55,000 and was sold during the year for ₹ 50,000.

Except the above mentioned transaction, gross profit earned during the year was 20 % on sales.

Depreciation and Amortisation

7. M/s. Deepak Transport Company purchased 10 trucks @ ₹ 50,00,000 each on 1st October, 2020. On 1st January, 2023, one of the trucks is involved in an accident and is completely destroyed and ₹ 35,00,000 is received from the insurance in full settlement. On the same date, another truck is purchased by the company for the sum of ₹ 60,00,000. The company writes off 20% of the original cost per annum.

Give the motor truck account for the years ending 31st March, 2023 and 31st March, 2024.

Bills of Exchange

8. Aadya owed ₹ 1,00,000 to Aanya. On 1st October, 2023, Aadya accepted a bill drawn by Aanya for the amount at 3 months. Aanya got the bill discounted with his bank for ₹ 99,000 on 3rd October, 2023. Before the due date, Aadya approached Aanya for renewal of the bill. Aanya agreed on the conditions that ₹ 50,000 be paid immediately together with interest on the remaining amount at 12% per annum for 3 months and

for the balance, Aadya should accept a new bill at three months. These arrangements were carried out. But afterwards, Aadya became insolvent and 40% of the amount could be recovered from his estate.

Pass journal entries (with narration) in the books of Aanya (ignore dates).

Final accounts and Rectification of entries

9. The following is the Trial Balance of Mr. Shekhar on 31st March, 2024 :

	Dr. ₹	Cr. ₹
Capital	-	6,00,000
Drawings	70,000	-
Fixed Assets (Opening)	1,40,000	-
Fixed Assets (Additions 01.10.2024)	2,00,000	-
Opening Stock	60,000	-
Purchases	16,00,000	-
Purchases Returns	-	69,000
Sales	-	22,00,000
Sales Returns	99,000	-
Debtors	2,50,000	-
Creditors	-	2,20,000
Expenses	50,000	-
Fixed Deposit with Bank	2,00,000	-
Interest on Fixed Deposit	-	20,000
Cash	-	8,000
Suspense A/c	-	2,000
Depreciation	14,000	-
Rent (17 months upto 31.8.2024)	17,000	-
Investments 12% (01.8.2023)	2,50,000	-
Bank Balance	<u>1,69,000</u>	<u>-</u>
	<u>31,19,000</u>	<u>31,19,000</u>

Stock on 31st March, 2024 was valued at ₹ 1,00,000. Depreciation is to be provided at 10% per annum on fixed assets purchased during the year. A scrutiny of the books of account revealed the following matters :

- (i) ₹ 20,000 drawn from bank was debited to Drawings account, but out of this amount withdrawn ₹ 12,000 was used in the business for day-to-day expenses.
- (ii) Purchase of goods worth ₹ 16,000 was not recorded in the books of account upto 31.03.2024, but the goods were included in stock.
- (iii) Purchase returns of ₹ 1,000 was recorded in Sales Return Journal and the amount was correctly posted to the Party's A/c on the correct side.
- (iv) Expenses include ₹ 6,000 in respect of the period after 31st March, 2024.

Give the necessary Journal Entries in respect of (i) to (iv) and prepare the Final Accounts for the year ended 31st March, 2024.

Financial Statements of Not for Profit Organizations

10. The following information of M/s. Sanyam Club are related for the year ended 31st March, 2024:

(1)

Balances	As on 01-04-2023 (₹)	As on 31-3-2024 (₹)
Stock of Sports Material	75,000	1,12,500
Amount due for Sports Material	67,500	97,500
Subscription due	11,250	16,500
Subscription received in advance	9,000	5,250

- (2) Subscription received during the year ₹ 3,75,000
- (3) Payments for Sports Material during the year ₹ 2,25,000

You are required to:

- (A) Calculate the amount of Subscription and Sports Material that will appear in Income & Expenditure Account for the year ended 31.03.2024 and
- (B) Also show how these items would appear in the Balance Sheet as on 31.03.2024

Accounts from Incomplete Records

11. Shivam Enterprises maintain their books of accounts under single entry system. The Balance-Sheet as on 31st March, 2023 was as follows :

Liabilities	Amount (₹)	Assets	Amount (₹)
Capital A/c	6,75,000	Furniture & fixtures	1,50,000
Trade creditors	7,57,500	Stock	9,15,000
Outstanding expenses	67,500	Trade debtors	3,12,000
		Prepaid insurance	3,000
		Cash in hand & at bank	1,20,000
	15,00,000		15,00,000

The following was the summary of cash and bank book for the year ended 31st March, 2024:

Receipts	Amount (₹)	Payments	Amount (₹)
Cash in hand & at Bank on 1 st April, 2023	1,20,000	Payment to trade creditors	1,24,83,000
Cash sales	1,10,70,000	Sundry expenses paid	9,31,050
Receipts from trade debtors	27,75,000	Drawings	3,60,000
		Cash in hand & at Bank on 31 st March, 2024	1,90,950
	1,39,65,000		1,39,65,000

Additional Information:

- (i) Discount allowed to trade debtors and received from trade creditors amounted to ₹ 54,000 and ₹ 42,500 respectively (for the year ended 31st March, 2024).
- (ii) Annual fire insurance premium of ₹ 9,000 was paid every year on 1st August for the renewal of the policy.
- (iii) Furniture & fixtures were subject to depreciation @ 15% p.a. on diminishing balance method.
- (iv) The following are the balances as on 31st March, 2024:

Stock	₹ 9,75,000
Trade debtors	₹ 3,43,000
Outstanding expenses	₹ 55,200
- (v) Gross profit is to be maintained at 10% on total sales.

You are required to prepare Trading and Profit & Loss account for the year ended 31st March, 2024, and Balance Sheet as on that date.

Partnership Accounts

Calculation of Goodwill

12. A and B are partners in a firm. Their capitals are: A ₹ 6,00,000 and B ₹ 4,00,000. During the year ended 31st March, 2024 the firm earned a profit of ₹ 3,00,000. Assuming that the normal rate of return is 20%, calculate the value of goodwill on the firm:
- (i) By Capitalization Method; and
 - (ii) By Super Profit Method if the goodwill is valued at 2 years' purchase of Super Profit.

Admission of Partner

13. P and Q are partners, sharing profits and losses in the ratio of 3:1. As at 31st March, 2024, following is the Balance Sheet of P and Q.

Balance Sheet as at 31st March, 2024

Liabilities	(₹)	Assets	(₹)
Capital accounts		Cash in hand	1,15,000
P 2,85,000		Cash at bank	1,10,000
Q 1,55,000	4,40,000	Sundry Debtors	1,60,000
Creditors	3,75,000	Stock	2,00,000
General reserve	60,000	Bills receivable	30,000
		Land and building	2,50,000
		Office furniture	10,000
	8,75,000		8,75,000

They agreed to take R into Partnership on 1st April, 2024 on the following terms:

- Goodwill is to be valued at ₹ 2,00,000. R is unable to bring cash for his share of goodwill. So, it was decided that due credit for goodwill be given to P and Q for their sacrifice in favour of R through R's current account.
- R pays ₹ 1,40,000 as his capital for 1/5th share in the future profits.
- Stock and Furniture to be reduced by 10%.
- A provision @ 5% for doubtful debts to be created on debtors.
- Land and building to be appreciated by 20%.
- Capital Accounts of the partners be readjusted on the basis of their profit sharing arrangement and any excess or deficiency is to be transferred to their Current Accounts.

Prepare Revaluation Account and Partners Capital Accounts.

Issue and Redemption of Shares

- Happy Limited registered with an authorised equity capital of ₹ 4,00,000 divided into 4,000 shares of ₹ 100 each, issued for subscription of 2,000 shares payable at ₹ 25 per share on application, ₹ 30 per share on allotment, ₹ 20 per share on first call and the balance as and when

required. Application money on 2,000 shares was duly received and allotment was made to them. The allotment amount was received in full, but when the first call was made, one shareholder failed to pay the amount on 200 shares held by him and another shareholder with 100 shares, paid the entire amount on his shares. The company did not make any other call. Give the necessary journal entries in the books of the company to record these transactions.

Issue and Redemption of Debentures

15. Well Done Ltd. issued 3,50,000, 12% Debentures of ₹100 each at par payable in full on application by 1st April, Application were received for 3,85,000 Debentures. Debentures were allotted on 7th April. Excess money refunded on the same date.

You are required to prepare necessary Journal Entries (including cash transactions) in the books of the company.

16. A company had issued 40,000, 12% debentures of ₹ 100 each on 1st April, 2020. The debentures were due for redemption on 1st March, 2024. The terms of issue of debentures provided that they were redeemable at a premium of 5%. The company offered an option to the debenture holders to convert redeemable value of 20% of their holding into equity shares (nominal value ₹ 10) at a predetermined price of ₹ 15 per share and the payment in cash for remaining debentures. 50 debentures holders holding totally 5,000 debentures did not exercise the option. Calculate the number of equity shares to be allotted to the debenture holders and the amount to be paid in cash on redemption.
17. Following is the extract of Balance Sheet of Goldstar Ltd. as at 31st March, 2024 :

	₹
Authorized capital:	
3,00,000 equity shares of ₹10 each	30,00,000
25,000,10% preference shares of ₹10 each	2,50,000
	32,50,000

Issued and subscribed capital:	
2,70,000 equity shares of ₹ 10 each fully paid up	27,00,000
24,000, 10% preference shares of ₹ 10 each fully paid up	2,40,000
	29,40,000
Reserves and surplus:	
General reserve	3,60,000
Capital redemption reserve	1,20,000
Securities premium (collected in cash)	75,000
Profit and loss account	6,00,000
	11,55,000

On 1st April, 2024, the company decided to capitalize its reserves by way of bonus at the rate of two shares for every five equity shares held.

Show necessary journal entries in the books of the company and prepare the extract of the balance sheet after bonus issue.

18. Write short notes on the following:
- Accounting conventions.
 - Objectives of preparing Trial Balance.
 - posting of journal entries into the Leger.
 - Machine Hour Rate method of calculating depreciation.
 - Contingent Asset and Contingent Liability